

Fundamental Analysis System - Functional Specification

Version: 1.0 **Date:** October 12, 2025 **Document Type:** Functional Specification **System:** Portfolio Tracker - Fundamental Analysis Module

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1. Executive Summary

The Fundamental Analysis System evaluates the financial health and investment potential of publicly traded companies by analyzing key financial metrics across five critical categories: Valuation, Profitability, Growth, Financial Health, and Dividends. The system produces a comprehensive score from 0 to 10, providing investors with an objective assessment of a company's fundamental strength.

Key Features

- Multi-dimensional Analysis:** Evaluates companies across 5 major categories and 20+ financial metrics
 - Weighted Scoring:** Different categories receive different weights based on their importance to investment decisions
 - Graceful Degradation:** System functions even when some metrics are unavailable
 - Automated Data Collection:** Fetches data from market data providers automatically
 - 24-Hour Caching:** Reduces data costs and improves performance
 - Clear Interpretation:** Provides human-readable assessment of results
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2. System Overview

Purpose

The Fundamental Analysis System helps investors make informed decisions by:

- Collecting financial metrics from reliable market data sources
- Evaluating each metric against industry benchmarks
- Combining individual scores into category scores
- Producing a weighted overall score
- Generating actionable interpretations

Score Scale

All scores use a **0-10 scale**:

- **9-10**: Excellent - Best-in-class performance
 - **7-8**: Strong - Above-average performance
 - **6**: Good - Slightly above average
 - **5**: Neutral - Average/benchmark performance
 - **4**: Below Average - Some concerns
 - **3**: Weak - Significant concerns
 - **0-2**: Poor - Critical issues
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3. Analysis Categories

The system evaluates companies across five major categories, each with a specific weight in the final score:

3.1 Valuation (Weight: 30%)

Purpose: Determines if the stock is fairly priced relative to its fundamentals.

Key Question: "Is the company overvalued, undervalued, or fairly valued?"

Metrics Analyzed:

- Price-to-Earnings Ratio (P/E)
- Price-to-Book Ratio (P/B)
- Price-to-Earnings-Growth Ratio (PEG)
- Enterprise Value to EBITDA (EV/EBITDA)

Why It Matters: Valuation helps investors avoid overpaying for stocks and identify potential bargains.

3.2 Profitability (Weight: 30%)

Purpose: Measures how effectively the company generates profit from its operations.

Key Question: "How efficiently does the company convert revenue into profit?"

Metrics Analyzed:

- Return on Equity (ROE)
- Return on Assets (ROA)
- Profit Margin
- Operating Margin

Why It Matters: Profitable companies generate returns for shareholders and have resources for growth and dividends.

3.3 Growth (Weight: 20%)

Purpose: Evaluates the company's ability to expand revenue and earnings over time.

Key Question: "Is the company growing, stagnating, or declining?"

Metrics Analyzed:

- Revenue Growth Rate
- Earnings Growth Rate

- Free Cash Flow Growth Rate

Why It Matters: Growth companies offer potential for share price appreciation and long-term wealth creation.

3.4 Financial Health (Weight: 15%)

Purpose: Assesses the company's ability to meet financial obligations and weather economic challenges.

Key Question: "Can the company pay its bills and survive difficult times?"

Metrics Analyzed:

- Current Ratio
- Quick Ratio
- Debt-to-Equity Ratio
- Interest Coverage

Why It Matters: Financially healthy companies are more stable and less likely to face bankruptcy or financial distress.

3.5 Dividend (Weight: 5%)

Purpose: Evaluates the company's dividend policy and sustainability.

Key Question: "Does the company provide attractive and sustainable dividend income?"

Metrics Analyzed:

- Dividend Yield
- Payout Ratio
- Dividend Growth Rate

Why It Matters: Dividends provide income and signal management's confidence in the business. Lower weight reflects that many growth companies don't pay dividends.

4. Metric Definitions

4.1 Valuation Metrics

Price-to-Earnings Ratio (P/E)

- **Definition:** Current stock price divided by earnings per share
- **Formula:** Stock Price / Earnings Per Share
- **What It Means:** How much investors pay for each dollar of earnings
- **Good Range:** 15-25 (industry dependent)
- **Interpretation:**
 - Low P/E (< 15): Potentially undervalued or facing challenges
 - Moderate P/E (15-25): Fairly valued
 - High P/E (> 25): Potentially overvalued or high growth expectations

Price-to-Book Ratio (P/B)

- **Definition:** Stock price relative to book value per share
- **Formula:** Stock Price / Book Value Per Share
- **What It Means:** Premium paid over the company's net asset value

- **Good Range:** 1-3
- **Interpretation:**
 - $P/B < 1$: Trading below book value (potential value opportunity)
 - P/B 1-3: Reasonable premium over assets
 - $P/B > 5$: High premium (justified only by strong intangibles)

Price-to-Earnings-Growth Ratio (PEG)

- **Definition:** P/E ratio adjusted for earnings growth rate
- **Formula:** $P/E \text{ Ratio} / \text{Earnings Growth Rate}$
- **What It Means:** Value relative to growth prospects
- **Good Range:** < 1.5
- **Interpretation:**
 - $PEG < 1$: Potentially undervalued given growth
 - PEG 1-2: Fair value
 - $PEG > 2$: Overvalued relative to growth

Enterprise Value to EBITDA (EV/EBITDA)

- **Definition:** Total company value relative to operating earnings
- **Formula:** $(\text{Market Cap} + \text{Debt} - \text{Cash}) / \text{EBITDA}$
- **What It Means:** Value of entire business including debt
- **Good Range:** 8-12
- **Interpretation:**
 - $EV/EBITDA < 8$: Potentially undervalued
 - $EV/EBITDA$ 8-12: Fair value
 - $EV/EBITDA > 15$: Expensive valuation

4.2 Profitability Metrics

Return on Equity (ROE)

- **Definition:** Net income generated per dollar of shareholder equity
- **Formula:** $\text{Net Income} / \text{Shareholder Equity}$
- **What It Means:** How efficiently management uses shareholder capital
- **Good Range:** $> 15\%$
- **Interpretation:**
 - $ROE > 25\%$: Excellent capital efficiency
 - ROE 15-25%: Strong performance
 - ROE 10-15%: Acceptable
 - $ROE < 10\%$: Weak returns to shareholders

Return on Assets (ROA)

- **Definition:** Net income relative to total assets
- **Formula:** $\text{Net Income} / \text{Total Assets}$
- **What It Means:** How efficiently company uses all assets
- **Good Range:** $> 7\%$
- **Interpretation:**
 - $ROA > 15\%$: Highly efficient asset utilization
 - ROA 7-15%: Good efficiency
 - $ROA < 5\%$: Asset-heavy or inefficient operations

Profit Margin

- **Definition:** Percentage of revenue retained as profit
- **Formula:** $\text{Net Income} / \text{Revenue}$
- **What It Means:** Profitability of core business operations
- **Good Range:** > 10%
- **Interpretation:**
 - Margin > 30%: Exceptional profitability
 - Margin 15-30%: Strong profitability
 - Margin 5-15%: Moderate profitability
 - Margin < 5%: Thin margins, vulnerable to costs

Operating Margin

- **Definition:** Operating income as percentage of revenue
 - **Formula:** $\text{Operating Income} / \text{Revenue}$
 - **What It Means:** Profitability before financing and taxes
 - **Good Range:** > 15%
 - **Interpretation:** Similar to profit margin but focuses on operational efficiency
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4.3 Growth Metrics

Revenue Growth Rate

- **Definition:** Year-over-year increase in total revenue
- **Formula:** $(\text{Current Revenue} - \text{Prior Revenue}) / \text{Prior Revenue}$
- **What It Means:** Speed of top-line expansion
- **Good Range:** > 10%
- **Interpretation:**
 - Growth > 30%: Rapid expansion
 - Growth 15-30%: Strong growth
 - Growth 10-15%: Moderate growth
 - Growth 5-10%: Slow growth
 - Growth < 5%: Stagnant or mature business

Earnings Growth Rate

- **Definition:** Year-over-year increase in net income
- **Formula:** $(\text{Current Earnings} - \text{Prior Earnings}) / \text{Prior Earnings}$
- **What It Means:** Speed of profit expansion
- **Good Range:** > 10%
- **Interpretation:** Similar to revenue growth, but focuses on bottom line

Free Cash Flow Growth

- **Definition:** Year-over-year increase in free cash flow
 - **Formula:** $(\text{Current FCF} - \text{Prior FCF}) / \text{Prior FCF}$
 - **What It Means:** Growth in cash available for shareholders
 - **Good Range:** > 10%
 - **Interpretation:** Important for dividend sustainability and reinvestment
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4.4 Financial Health Metrics

Current Ratio

- **Definition:** Current assets divided by current liabilities
- **Formula:** $\text{Current Assets} / \text{Current Liabilities}$

- **What It Means:** Ability to pay short-term obligations
- **Good Range:** 1.5-2.5
- **Interpretation:**
 - Ratio > 2: Strong liquidity, comfortable buffer
 - Ratio 1.5-2: Adequate liquidity
 - Ratio 1-1.5: Tight liquidity, limited buffer
 - Ratio < 1: Liquidity crisis, cannot cover short-term debts

Quick Ratio (Acid Test)

- **Definition:** Liquid assets divided by current liabilities
- **Formula:** (Current Assets - Inventory) / Current Liabilities
- **What It Means:** Ability to pay debts with most liquid assets
- **Good Range:** > 1
- **Interpretation:**
 - Ratio > 1.5: Excellent liquidity
 - Ratio 1-1.5: Good liquidity
 - Ratio < 1: May struggle to meet immediate obligations

Debt-to-Equity Ratio

- **Definition:** Total debt relative to shareholder equity
- **Formula:** Total Debt / Shareholder Equity
- **What It Means:** Financial leverage and risk level
- **Good Range:** < 0.5 (conservative)
- **Interpretation:**
 - Ratio < 0.3: Very conservative, minimal debt
 - Ratio 0.3-0.8: Moderate leverage, balanced
 - Ratio 0.8-1.5: Higher leverage, increased risk
 - Ratio > 2: Heavy debt burden, high financial risk

Interest Coverage

- **Definition:** Ability to pay interest on debt
- **Formula:** EBIT / Interest Expense
- **What It Means:** Margin of safety for debt service
- **Good Range:** > 5
- **Interpretation:**
 - Coverage > 10: Very comfortable debt service
 - Coverage 5-10: Adequate coverage
 - Coverage 2-5: Tight coverage, vulnerable to earnings decline
 - Coverage < 2: Distressed, may struggle with debt payments

4.5 Dividend Metrics

Dividend Yield

- **Definition:** Annual dividend as percentage of stock price
- **Formula:** Annual Dividend / Stock Price
- **What It Means:** Income return from dividends
- **Good Range:** 3-5%
- **Interpretation:**
 - Yield > 5%: High income (verify sustainability)
 - Yield 3-5%: Attractive income

- Yield 2-3%: Moderate income
- Yield < 2%: Low income, focus may be on growth

Payout Ratio

- **Definition:** Percentage of earnings paid as dividends
- **Formula:** Dividends / Net Income
- **What It Means:** Sustainability of dividend payments
- **Good Range:** 40-60%
- **Interpretation:**
 - Ratio < 40%: Very safe, room to grow dividend
 - Ratio 40-60%: Balanced, sustainable
 - Ratio 60-80%: Higher payout, less margin for error
 - Ratio > 80%: Risky, vulnerable to earnings decline

Dividend Growth Rate

- **Definition:** Historical rate of dividend increases
- **Formula:** Average annual increase in dividend over 5 years
- **What It Means:** Commitment to growing shareholder returns
- **Good Range:** > 5%
- **Interpretation:** Higher growth indicates strong business and shareholder-friendly management

5. Scoring Methodology

5.1 Individual Metric Scoring

Each metric is evaluated independently and assigned a score from 0 to 10 based on predefined ranges that reflect industry standards and investment best practices.

Example: Price-to-Earnings (P/E) Ratio Scoring

P/E Range	Score	Interpretation
Negative	3	Company is not profitable
0-15	9	Potentially undervalued
15-20	8	Fairly valued
20-25	7	Moderately valued
25-30	6	Getting expensive
30-40	5	High valuation
40-50	4	Very expensive
> 50	3	Extremely overvalued

Example: Return on Equity (ROE) Scoring

ROE Range	Score	Interpretation
> 25%	9	Exceptional capital efficiency

20-25%	8	Strong performance
15-20%	7	Good performance
10-15%	6	Acceptable performance
5-10%	5	Mediocre performance
0-5%	4	Weak performance
Negative	3	Destroying shareholder value

Example: Revenue Growth Scoring

Growth Rate	Score	Interpretation
> 30%	9	Rapid expansion
20-30%	8	Strong growth
15-20%	7	Good growth
10-15%	6	Moderate growth
5-10%	5	Slow growth
0-5%	4	Stagnant
Negative	3	Declining revenue

5.2 Category Score Calculation

Each category score is calculated as the **average of all available metric scores** within that category.

Formula:

Category Score = Sum of Individual Metric Scores / Number of Available Metrics

Example - Valuation Category:

If a company has the following valuation metrics:

- P/E Ratio: 18 → Score: 8
- P/B Ratio: 2.5 → Score: 7
- PEG Ratio: 1.2 → Score: 7
- EV/EBITDA: Not Available

Valuation Score = (8 + 7 + 7) / 3 = **7.3 out of 10**

5.3 Handling Missing Data

Graceful Degradation Principle: The system functions even when some metrics are unavailable.

Rules:

1. If a metric is unavailable, it is excluded from the category average
2. If an entire category has no available metrics, it receives a neutral score of 5

3. The dividend category defaults to 0 if no dividend metrics are available (reflects non-dividend-paying stocks)

Example: If only ROE is available for profitability:

- ROE: 22% → Score: 8
- Other metrics: Not available
- Profitability Score = 8 (based solely on available data)

6. Score Calculation Process

6.1 Overall Process Flow

1. **Data Collection:** Fetch financial metrics from market data provider
2. **Metric Scoring:** Evaluate each metric against scoring rubric
3. **Category Averaging:** Calculate average score for each category
4. **Weighted Aggregation:** Combine category scores using predefined weights
5. **Interpretation Generation:** Produce human-readable assessment

6.2 Weighted Score Formula

The overall fundamental score is calculated as a weighted average of the five category scores:

Total Score = (Valuation × 0.30) +
(Profitability × 0.30) +
(Growth × 0.20) +
(Financial Health × 0.15) +
(Dividend × 0.05)

6.3 Weight Rationale

Category	Weight	Rationale
Valuation	30%	Critical for determining if price is attractive; directly impacts return potential
Profitability	30%	Core measure of business quality; profitable companies create shareholder value
Growth	20%	Important for capital appreciation; indicates future potential
Financial Health	15%	Essential for stability; protects against downside risk
Dividend	5%	Relevant for income investors; many growth companies don't pay dividends

6.4 Calculation Example

Company: Example Tech Corp

Step 1: Individual Metric Scores

Valuation Metrics:

- P/E: 22 → Score: 7
- P/B: 3.5 → Score: 6
- PEG: 1.1 → Score: 9
- EV/EBITDA: 11 → Score: 7

Profitability Metrics:

- ROE: 18% → Score: 7
- ROA: 12% → Score: 8
- Profit Margin: 22% → Score: 8

Growth Metrics:

- Revenue Growth: 25% → Score: 8
- Earnings Growth: 28% → Score: 8

Financial Health Metrics:

- Current Ratio: 1.8 → Score: 8
- Quick Ratio: 1.3 → Score: 8
- Debt-to-Equity: 0.4 → Score: 8

Dividend Metrics:

- Dividend Yield: 2.1% → Score: 6
- Payout Ratio: 35% → Score: 9

Step 2: Category Scores

- Valuation: $(7 + 6 + 9 + 7) / 4 = 7.3$
- Profitability: $(7 + 8 + 8) / 3 = 7.7$
- Growth: $(8 + 8) / 2 = 8.0$
- Financial Health: $(8 + 8 + 8) / 3 = 8.0$
- Dividend: $(6 + 9) / 2 = 7.5$

Step 3: Weighted Total Score

$$\begin{aligned} \text{Total} &= (7.3 \times 0.30) + (7.7 \times 0.30) + (8.0 \times 0.20) + (8.0 \times 0.15) + (7.5 \times 0.05) \\ \text{Total} &= 2.19 + 2.31 + 1.60 + 1.20 + 0.375 \\ \text{Total} &= 7.68 \rightarrow \text{Rounded to } 7.7 \end{aligned}$$

Final Score: 7.7 out of 10

7. Interpretation Guidelines

7.1 Score Ranges and Meanings

Score Range	Rating	Investment Implication	Description
8.5-10.0	Excellent	Strong Buy Candidate	Outstanding fundamentals across all categories. Company shows exceptional financial health, profitability, and value.
7.0-8.4	Strong	Buy Candidate	Strong fundamentals with solid performance in most categories. Good investment opportunity with

			manageable risks.
5.5-6.9	Good	Hold/Cautious Buy	Mixed fundamentals with both strengths and weaknesses. Suitable for selective investors. Requires deeper analysis.
4.0-5.4	Below Average	Hold/Reduce	Concerning fundamentals in multiple categories. May face challenges ahead. Existing holders should monitor closely.
2.0-3.9	Weak	Reduce/Avoid	Significant fundamental weaknesses. High risk of underperformance or financial distress.
0.0-1.9	Poor	Avoid/Sell	Critical fundamental issues. Company facing severe challenges. Not suitable for most investors.

7.2 Interpretation Templates

Based on the overall score and category breakdown, the system generates tailored interpretations:

High Score (≥ 7.0)

"Strong fundamentals across multiple metrics. The company shows solid profitability, reasonable valuation, and healthy financial position."

What This Means:

- Company is well-managed and financially sound
- Current price offers reasonable value for the quality
- Lower risk of significant downside
- Suitable for core portfolio holdings

Medium Score (5.0-6.9)

"Mixed fundamentals with some strong points. Consider analyzing specific areas of concern before making investment decisions."

What This Means:

- Company has both strengths and weaknesses
- Some categories may be concerning while others are strong
- Requires deeper due diligence to understand risks
- May be suitable for opportunistic positions with clear exit strategy

Low Score (< 5.0)

"Weak fundamentals detected. The company may face challenges in profitability, growth, or financial health. Proceed with caution."

What This Means:

- Significant red flags in one or more categories
- Higher risk of underperformance
- May be facing business or industry headwinds
- Generally not suitable for conservative investors

7.3 Category-Specific Insights

The interpretation should also highlight specific category strengths and weaknesses:

Example Interpretation: *"Overall Score: 6.8 - Mixed fundamentals with some strong points. The company demonstrates excellent profitability (8.5) and strong growth (7.8), but faces concerns with high valuation (4.2) and elevated debt levels (4.5). While the business operations are healthy, the current price may not offer sufficient margin of safety. Consider waiting for a better entry point or accepting higher risk for the growth potential."*

8. Data Sources and Caching

8.1 Data Sources

Primary Source: Yahoo Finance API

- Provides comprehensive fundamental data
- Updates daily after market close
- Covers major global exchanges
- Includes historical and estimated metrics

Data Points Collected:

- Real-time and historical price data
- Income statement metrics
- Balance sheet data
- Cash flow information
- Analyst estimates
- Company profile information

8.2 Caching Strategy

Cache Duration: 24 hours

Rationale:

- Fundamental metrics change slowly (quarterly earnings)
- Reduces API calls and costs
- Improves system performance
- Daily updates are sufficient for fundamental analysis

Cache Behavior:

1. System checks database for existing data
2. If data exists and is less than 24 hours old, use cached data
3. If data is stale or missing, fetch fresh data from API
4. Store new data in database with timestamp
5. Return formatted metrics to user

Benefits:

- Fast response times for repeat queries
- Reduced external API costs
- Consistent data within trading day
- Automatic refresh ensures data currency

8.3 Data Freshness Indicators

Users are informed when data was last updated:

- "Updated today" - Data is current
 - "Updated X hours ago" - Recent but not today's data
 - "Updated yesterday" - Previous trading day's data
 - "Updated X days ago" - Potentially stale, refresh recommended
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9. Use Cases

9.1 Stock Screening

Scenario: Investor wants to find fundamentally strong companies in the technology sector.

Process:

1. Run fundamental analysis on all stocks in sector
2. Filter for scores ≥ 7.0
3. Sort by total score descending
4. Review top candidates for deeper analysis

Benefit: Quickly identify highest-quality companies without manual analysis of financial statements.

9.2 Portfolio Monitoring

Scenario: Investor holds 15 stocks and wants to monitor their fundamental health.

Process:

1. Schedule daily fundamental analysis for all holdings
2. System alerts when any stock's score drops below threshold
3. Review declining stocks for:
 - Temporary issues (one-time events)
 - Deteriorating fundamentals (sell consideration)
 - Category-specific problems (risk assessment)

Benefit: Early warning system for fundamental deterioration, enabling proactive portfolio management.

9.3 Buy vs. Sell Decision

Scenario: Investor considering purchasing Company A or selling existing position in Company B.

Process for Purchase Decision:

1. Run fundamental analysis on Company A
2. Review overall score and category breakdown
3. Compare to sector averages and competitors
4. If score ≥ 7.0 and valuation is attractive, consider buying
5. If score < 5.0 or valuation is poor, avoid

Process for Sell Decision:

1. Monitor fundamental score of Company B over time
2. If score drops from 7+ to below 6, investigate causes
3. If decline is due to deteriorating business (not market volatility), consider selling

4. If score drops below 5.0, likely time to exit position

Benefit: Objective framework for investment decisions, removing emotion from the process.

9.4 Watchlist Prioritization

Scenario: Investor has 50 stocks on watchlist and wants to focus on best opportunities.

Process:

1. Run fundamental analysis on all watchlist stocks
2. Create ranked list by total score
3. Filter for attractive valuations (valuation category ≥ 7)
4. Focus research time on top 10 stocks meeting criteria

Benefit: Efficient use of research time by focusing on most promising opportunities.

9.5 Risk Assessment

Scenario: Investor wants to understand risk level of potential investment.

Process:

1. Run fundamental analysis
2. Review Financial Health category score:
 - Score ≥ 7 : Low financial risk
 - Score 5-7: Moderate risk
 - Score < 5 : High risk
3. Check debt metrics specifically (Debt-to-Equity, Interest Coverage)
4. Adjust position sizing based on risk level

Benefit: Quantified risk assessment helps determine appropriate portfolio weighting.

9.6 Comparative Analysis

Scenario: Investor choosing between two similar companies (Company X vs. Company Y).

Process:

1. Run fundamental analysis on both companies
2. Compare overall scores
3. Compare category breakdowns to identify strengths/weaknesses
4. Example comparison:

Category	Company X	Company Y	Winner
Valuation	6.5	8.2	Y
Profitability	8.3	7.1	X
Growth	7.5	6.8	X
Financial Health	8.0	5.5	X
Dividend	4.0	7.5	Y

Total	7.4	7.2	X
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Decision: Company X offers better overall fundamentals, though Company Y is cheaper (valuation) and pays better dividends.

Benefit: Structured comparison reveals trade-offs and helps make informed choice.

10. System Limitations and Considerations

10.1 Limitations

1. **Backward-Looking Data:** Fundamental metrics reflect past performance, not future potential
2. **Industry Variations:** Scoring rubrics are generalized; some industries have different norms
3. **Quality of Input Data:** System relies on accuracy of external data sources
4. **Missing Metrics:** Some companies (especially smaller ones) may have limited data availability
5. **No Qualitative Factors:** System doesn't consider management quality, brand strength, competitive moat, etc.
6. **Accounting Differences:** International companies may use different accounting standards

10.2 Important Considerations

1. **Use as Starting Point:** Fundamental score should be one input to investment decision, not the only factor
2. **Combine with Other Analysis:** Integrate with technical analysis, news sentiment, analyst ratings
3. **Industry Context Matters:** Compare companies within same sector for meaningful insights
4. **Verify Anomalies:** Unusually high or low scores warrant investigation
5. **Consider Business Model:** Asset-light businesses may score differently than capital-intensive ones
6. **Market Conditions:** During economic cycles, interpretation of metrics may need adjustment

10.3 Best Practices

1. **Regular Monitoring:** Review fundamental scores at least quarterly (after earnings releases)
 2. **Trend Analysis:** Watch for improving or deteriorating scores over time
 3. **Category Deep-Dive:** When overall score is concerning, identify which categories are weak
 4. **Peer Comparison:** Compare scores against industry competitors
 5. **Fundamental + Technical:** Combine with technical analysis for entry/exit timing
 6. **Position Sizing:** Use score to determine portfolio weight (higher scores = larger positions)
 7. **Rebalancing Trigger:** Set thresholds for automatic review (e.g., score drops by 2 points)
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11. Conclusion

The Fundamental Analysis System provides investors with a comprehensive, objective, and quantitative assessment of company financial health. By evaluating 20+ metrics across five critical categories and producing a weighted 0-10 score, the system enables:

- **Faster Decision-Making:** Rapid assessment of investment opportunities
- **Objective Evaluation:** Removes emotion from fundamental analysis
- **Risk Management:** Identifies financial weaknesses before they become critical
- **Portfolio Optimization:** Helps allocate capital to highest-quality companies
- **Continuous Monitoring:** Tracks fundamental changes over time

When used as part of a comprehensive investment process that includes technical analysis, news sentiment, and qualitative research, the Fundamental Analysis System helps investors make more informed decisions

and build stronger portfolios.

Document Version Control

Version	Date	Author	Changes
1.0	October 12, 2025	Portfolio Tracker Team	Initial functional specification

End of Document